

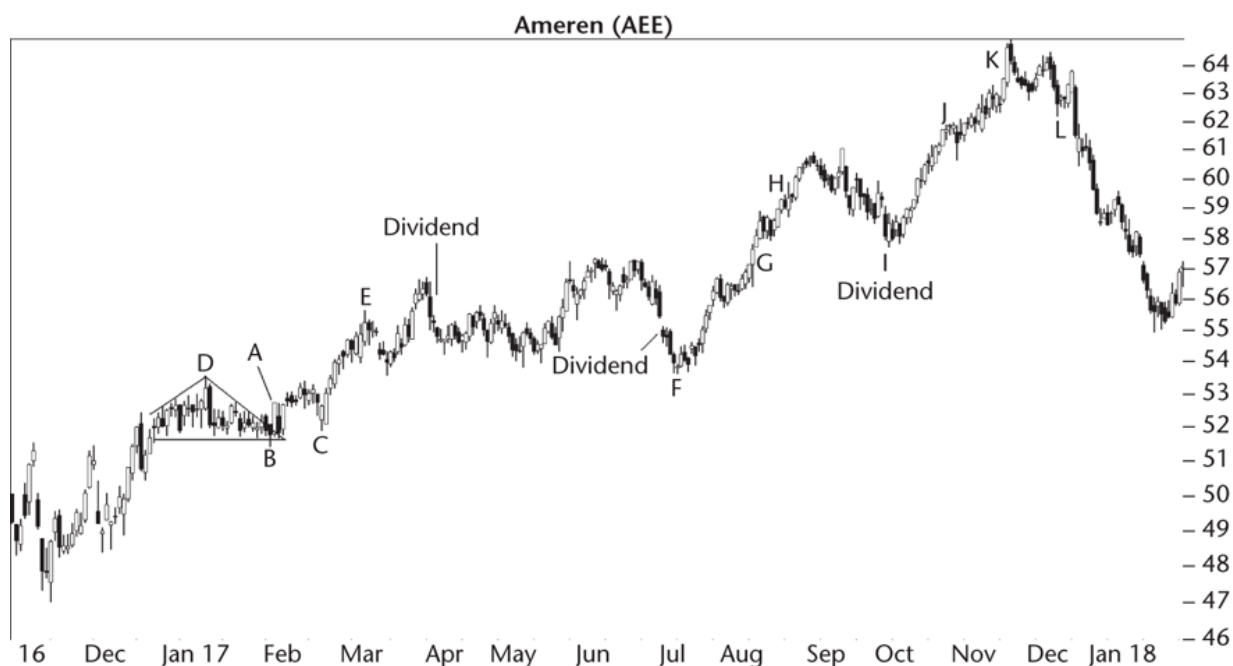


Figure 53.4 This roof leads to a big gain with dividends included.

The stock reached the target at E, peaking at 55.51. Did he sell there? “No. If this were a swing trade, I’d have placed a limit order to sell at the target price, but in this case, I wanted to hold onto the stock longer to collect dividends.”

Here’s what he did. Based on the height of the roof, he found the next target: $55.45 + 2.05$ or 57.50. That became the new target. He raised the stop-loss order to the top of the pattern, D, at 53.40.

Price meandered higher and came close to stopping him out at F when the stock bottomed at 53.54. At G, the stock exceeded his new price target of 57.50 when it peaked at 57.65.

He set a new target of $57.50 + 2.05$ or 59.55 with a new stop at 55.45 (the price of the first target).

Price reached that target at H. He raised the stop to the second target or 57.50 and calculated a higher target of 61.60 using the same approach.

At I, price bottomed at 57.56, missing his stop again. Price moved higher and tagged his target at J. Once more he raised his target another 2.05 to 63.65 and stop to 59.55. The stock cooperated and reached his target at K.